Northwind Logistics, Inc.

Q2 FY2025 to Q3 FY2025

The volume softness management flagged in July deepened rather than stabilized, forcing a $200M revenue and $0.525 EPS guidance cut one quarter after a raise and the withdrawal of the FY2026 mid-87s operating ratio target.

DETERIORATING DISCLOSURE READ, NOT A VIEW ON THE SHARES

Q2 was a beat-and-raise wrapped in candid caveats — management volunteered that June tonnage was (2)%, that industrial demand was 'clearly softer than it was ninety days ago,' and that 6% wage inflation exceeded 5.2% yield, but all of that sat under a record Q2 OR and a guidance raise at both ends. Q3 flips the framing entirely: Whitfield opens with 'the third quarter was difficult, and I want to start by being direct about it,' and the softness 'did not stabilize. It deepened.' The CEO took personal ownership of the miss ('I own that the guidance was too optimistic on volume'), and the CFO escalated the wage/yield gap from a 'tension' being 'watched closely' to 'a structural headwind that doesn't depend on the cycle.' The mid-87s FY2026 OR path, introduced as new framing in July, was explicitly not reaffirmed. Disclosure moved from Neutral-with-warnings to unambiguously Bearish.

WHAT CHANGED

Metric	Q2 FY2025	Q3 FY2025	Direction
Tonnage per day (y/y)	+3.1% in Q2; June exit month (2)%	(4.3)% in Q3; September (5.6)%; October 'about in line' with September	DOWN
	A 740 bp swing from Q2 to Q3 and still worsening month-by-month. The exit rate is worse than the quarter average, and management explicitly refuses to call a bottom.		
Operating ratio	88.4%, best Q2 in company history, (80) bps y/y	89.8%, +140 bps y/y (worse)	DOWN
	Not directly comparable quarter-to-quarter given seasonality, but the y/y direction reversed hard: from 80 bps of improvement to 140 bps of deterioration. Driven by volume deleverage on a fixed terminal network, ~6% wage inflation and insurance/claims +12%.		
Revenue growth (y/y)	+8.4% to $1.42B (+9.6% ex-fuel)	+0.7% to $1.39B (+1.4% ex-fuel)	DOWN
	Growth essentially evaporated in one quarter. Price held (yield ex-fuel +5.1% vs +5.2%) — the entire delta is volume, compounded by ~$40M of annualized revenue walked away from on margin thresholds.		
Adjusted EPS (y/y)	$1.86, +11.4%	$1.71, (4.5)%	DOWN
	From double-digit growth to a y/y decline. GAAP EPS $1.63 includes $9M of San Antonio deferral costs.		
FY2025 guidance (revenue / adj EPS)	Raised to $5.75-5.85B / $7.10-7.40	Cut to $5.55-5.65B / $6.60-6.85	DOWN
	-$200M revenue (-3.4%) and -$0.525 EPS (-7.2%) at midpoint, fully reversing the July raise and then some. Q4 assumption moved from flat-to-(2)% tonnage with mid-single-digit yield to (4)% to (6)% tonnage with only ~4.5% yield as renewals moderate from high-single-digits.		
Last-mile segment	$186M revenue, +24%; margin (1.8)% vs (6.1)% prior year	$204M revenue, +19%; margin +0.4%, first profitable quarter ever	UP
	The one clean positive. Breakeven arrived inside the two-to-three-quarter window guided in July; management says there was nothing one-time and the insourcing off purchased transportation is durable. Growth is decelerating as new-account onboarding laps.		

GUIDANCE CHANGE

Cut across the board. FY2025 revenue to $5.55-5.65B from $5.75-5.85B (-$200M, -3.4% at midpoint); adjusted EPS to $6.60-6.85 from $7.10-7.40 (-$0.525, -7.2%); capex to $360M from $410M (-12.2%). Q4 assumptions deteriorated on both legs: tonnage (4)% to (6)% versus July's flat-to-(2)%, and yield ~4.5% versus mid-single-digit, as contract renewals moderate from the high-single-digit increases that underpinned the July raise. Most consequentially, the FY2026 mid-87s operating ratio path was explicitly not reaffirmed, deferred to the January FY2026 guide. San Antonio terminal opening

pushed to FY2026.

TONE OF MANAGEMENT

From confident-with-caveats to contrite and defensive. July opened with ‘I’m pleased to report a strong second quarter’ and framed the raise as ‘fundamentally a yield story’ with ‘visibility’ into renewals; Whitfield’s July conditional — ‘if tonnage were to fall materially further than that, we would have a conversation’ — became the actual outcome. October opened with ‘the third quarter was difficult’ and closed with ‘our guidance reflected an optimism on volume that did not materialize.’ Lee moved from ‘we are watching that closely’ on the wage/yield gap to ‘that’s the honest picture, and it’s a large part of why we’re not reaffirming the fiscal 2026 target.’ Management repeated ‘we are not calling a bottom’ twice and declined to characterize October as stabilizing.

NEW RISKS THIS PERIOD

1. Management credibility on forecasting: guidance cut 90 days after a raise, with the CEO conceding the volume assumption was too optimistic — raises the bar for the January FY2026 guide.
2. FY2026 earnings power is now unanchored: the mid-87s OR target was pulled rather than reaffirmed, leaving no out-year framework until January.
3. Insurance and claims expense up 12% y/y on industry-wide accident severity — a new cost line not flagged in Q2.
4. Pricing discipline may be partially eroding: management is reviewing margin thresholds ‘lane by lane’ and may be ‘more flexible’ in low-density lanes, a softening of July’s unqualified ‘we are not following’ stance.

RISKS NO LONGER EMPHASIZED

1. Last-mile loss-making status resolved — segment turned profitable at 0.4% margin, with management stating no one-time benefit and durability from insourcing.
2. Customer concentration stabilized at 31% of revenue, flat q/q, rather than ticking up further as July guidance allowed for.
3. Purchased transportation cost pressure from last-mile peaks reversed, now a tailwind as accounts shifted onto owned capacity.
4. Execution risk on Laredo removed — terminal opened in September with cross-border volumes in line with plan.

WHAT TO WATCH NEXT QUARTER

1. Whether October’s tonnage run-rate (in line with September’s (5.6)%) inflects, versus the Q4 guide of (4)% to (6)% — the exit rate is currently tracking at the bad end of the range with no bottom called.
2. The January FY2026 guide, specifically whether an operating ratio framework is reinstated and where it lands against the withdrawn mid-87s, given the CFO’s structural ~6% wage vs ~4.5% yield gap.
3. Whether the lane-by-lane threshold review stays ‘not a broad change in posture’ or becomes a material softening of pricing discipline — and whether yield ex-fuel holds above 4.5% in Q4 as renewals moderate.